

LIVABLE TELLURIDE

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August 1, 2026

San Miguel County Planning Department

San Miguel County Planning Commission

Board of County Commissioners

P.O. Box 1170, Telluride, CO 81435

Re: Public comment on the San Miguel County Housing Code Update — Final Code Audit Report and Recommendations (Public Draft, July 2026)

Dear Commissioners and Planning Staff:

Livable Telluride submits these comments on the draft Code Audit Report. We support the project's stated objective — removing regulatory barriers that make workforce housing slower and costlier to build than it needs to be — and we support a number of the specific recommendations, which we identify in Part III below. Entitlement delay is a genuine cost driver, and several of the proposed changes would reduce it at no cost to the public.

Our comments concern the density provisions in Recommendations 1A and 1B and the corresponding redlines in Appendix A. **We believe the density bonus, as drafted, cannot function as intended** — not as a matter of policy disagreement, but as a matter of arithmetic. We set that out first, because if we are correct, the provision requires redrafting before adoption regardless of one's views on growth.

These comments are based on the Public Draft dated July 2026, including Appendix A as published. We note that Appendices B, C, and D are referenced in the table of contents but are not present in the document, and that Appendix A ends mid-sentence within Section 5-307K. Several of our questions below could likely be resolved by the missing material.

I. The density bonus, as drafted, produces fewer market units than building by right

Under the proposed structure, the increased **by-right** density in the Low Density (LD), Medium Density (MD), and High Density (HD) districts carries **no deed-restriction requirement**. The deed-restriction obligation attaches only to the bonus increment above that baseline (Table 4, p. 16; Appendix A, Sections 5-302H.I, 5-303G.I, 5-304G.II).

Because each bonus tier requires deed-restricting a larger share of units than the bonus adds to the total, **every tier leaves an applicant with fewer free-market units than simply building at the by-right density.** Using the High Density district as the illustration:

Option (High Density)	Total DU/acre	Deed-restricted	Free-market units/acre
Build at by-right density	15.0	0%	15.0
25% bonus (33–40% restricted)	19.0	33–40%	11.4 – 12.7
35% bonus (41–50% restricted)	20.0	41–50%	10.0 – 11.8
50% bonus (51%+ restricted)	22.5	51%+	11.0

The same result holds in MD and LD at every tier. (Livable Telluride calculation from the figures in Table 4 and the Appendix A redlines; we would welcome correction if we have misread the intended operation of the provision.)

The general condition for a density bonus to leave an applicant no worse off is that the bonus percentage must be at least $d \div (1 - d)$, where d is the required deed-restricted share. At a 33% requirement that is a **49% bonus**; at 51% it is a **104% bonus**. The draft offers 25% and 50% respectively — less than half of break-even at the upper tier. Since break-even alone is not an incentive, the bonus would need to exceed those figures to induce any applicant to use it.

The practical consequence is that the County would grant a substantial by-right increase in free-market development potential and receive no deed-restricted units in return, because no rational applicant would elect a bonus that reduces their market yield. We do not believe this is the intended outcome, and we raise it as a technical defect rather than a policy objection.

Recommended remedy. We suggest the County consider making increased density above today's by-right allowance available **only for deed-restricted units**, retaining Planned Unit Development review for free-market density above the current standard. That approach resolves the arithmetic problem, ties the entitlement increase directly to the public purpose that justifies it, and — as a secondary benefit — simplifies the code by eliminating the percentage tiers entirely. If the County prefers to retain the tiered structure, the bonus percentages should be recalculated so that they exceed $d \div (1 - d)$ at every tier.

II. Additional concerns with the density provisions

A. Striking mandatory PUD review also removes the infrastructure adequacy test.

Appendix A strikes Sections 5-302B, 5-303B, and 5-304B, which currently require PUD review for development in the HD, MD, and LD districts other than uses allowed by right. We understand the intent — PUD review is slow, and predictability has value. We note, however, that the PUD review standards retained at Sections 5-302L, 5-303K, and 5-304I contain the requirement that "adequate public services such as roads, water, wastewater, public safety and fire protection are available to serve the proposed use." **Because those standards apply only to the PUD route, striking mandatory PUD review appears to remove the only generally applicable service-adequacy test for development in these districts.**

Water rights demonstration under Section 5-801 and water quality standards under Section 5-803 remain, and we support them. Neither addresses **wastewater treatment capacity**, which is the region's most constrained system. The regional treatment plant has passed the State's 80% planning trigger on organic loading, its discharge permit expired in November 2025 and operates under administrative continuation, and federal compliance records show significant noncompliance in seven of the last thirteen quarters. The replacement facility contemplated in the June 2025 intergovernmental memorandum is sized at 2.67 MGD against current peak flows of approximately 1.6 MGD.

Applying the County's own household-size figure of 2.2 persons (2025 Regional Housing Needs Assessment, cited at p. 15) and standard planning factors of 70–100 gallons per person per day, development at the proposed 15 DU/acre generates roughly 2,300–3,300 gallons per acre per day. **On those figures, on the order of 250 to 375 acres developed at the proposed High Density standard would consume the entire remaining capacity of the replacement plant** — a facility the region expects to fund at nine figures. We recognize that the draft does not propose mapping any land to HD today; our concern is that the standard would be established without a capacity linkage, and the rezoning question in Part II.C below determines whether it later becomes available.

We note that the draft does contain one new service-adequacy standard — proposed Section 5-1011.I.f, requiring cottage housing to "prove adequate provision of water, wastewater, and utility services necessary to support additional units without straining existing infrastructure." **We support that language and suggest it, or something like it, should apply to any density increase rather than to a single housing type.**

B. The term "deed restricted" is not defined in the bonus provisions.

The density bonus language in Sections 5-302H.I, 5-303G.I, and 5-304G.II conditions the bonus on a percentage of units being "deed restricted," without further specification. It does not reference the County R-1 Housing Deed Restriction, does not cross-reference Sections 5-1304 or 5-1305, and does not state an income level, an affordability term, an occupancy standard, or an employment requirement.

This is conspicuous because other provisions in the same appendix are specific: the accessory dwelling unit and caretaker unit standards expressly require units to be "subject to the County R-1 Housing Deed Restriction (see Sections 5-1304 and 5-1305)." **As drafted, an applicant could arguably satisfy the bonus with a restriction of the applicant's own design.** We recommend the bonus provisions cross-reference Sections 5-1304 and 5-1305 explicitly and state the required income tier, term, and eligibility standard.

C. The rezoning pathway is altered, but the operative sections are not published.

The narrative states at p. 9 that rezoning into the LD, MD, and HD districts is presently precluded, because those rezonings were limited to properties zoned PUD-R and all PUD-R land has been rezoned away. Appendix A strikes from Section 5-304A.I the sentence: "The LD Zone District applies to areas so zoned already; it shall not provide a mechanism for rezoning areas not currently so zoned," and strikes the corresponding "fallback zoning" sentences from the HD and MD purpose statements.

Section 5-317 (Planned Unit Development Reserve) and the Article 3 rezoning procedures are not included in Appendix A as published. **The public therefore cannot determine from this document whether, and to what extent, land may be rezoned into the LD, MD, and HD districts following adoption.** This is the single question that governs the practical significance of the density changes, and we respectfully request that staff address it directly in writing and publish any associated redlines before the Planning Commission takes action.

D. No unit-yield or capacity analysis accompanies the draft.

Appendices B (Housing Needs Context), C (Existing Code Context), and D (Background Information) are listed in the table of contents but are not present in the published document, and Appendix A terminates mid-sentence at Section 5-307K. **The draft contains no estimate of how many dwelling units the proposed changes could produce, no inventory of land in the affected districts, and no analysis of whether regional infrastructure can serve the resulting development.** We recommend that a build-out estimate and an infrastructure capacity analysis be published and subjected to public review before adoption. A density change of this magnitude — from one unit per 35 acres to 15 units per acre in the High Density district — warrants a quantified assessment of its potential effect.

E. Community Housing zone: two removals warrant reconsideration.

The Appendix A redline to Section 5-324A strikes the enumerated list of districts eligible for rezoning to Community Housing and replaces it with a serviceability test. In doing so it also strikes the sentence providing that "Properties that are zoned High Country Area (HCA) or Rangeland Grazing (RG) shall not be considered for rezoning to CH." **We read this as removing the prohibition on rezoning high-country and rangeland parcels to a district**

permitting 20 dwelling units per acre with no minimum lot area (Section 5-324G is retained unchanged). If that consequence is unintended, we suggest the prohibition be restored.

The same redline strikes the statement that higher CH density "shall not be considered incompatible with surrounding land uses, neighborhood characteristics or community character." We note this cuts in the opposite direction — it was protective of CH proposals — and flag it only so that both effects are considered together.

F. Affordability thresholds.

The proposed Community Housing height bonus (Appendix A, Section 5-324, p. 37 of the appendix) is the only place in the redlines where an income level appears: 40 feet of height where 50% of the development is affordable to households at or below **120% of AMI for rental or 200% of AMI for ownership**. These mirror the thresholds adopted for the Prioritized Housing Review on June 3, 2026 (p. 29).

The regional record indicates that demand for restricted product thins substantially above approximately 120% of AMI. The Voodoo project, priced for households at 110–170% of AMI, drew 33 applicants for 27 units in its August 2024 lottery, and five units remained unleased that December, at which point eligibility requirements were reduced. **We respectfully suggest that incentives calibrated to 200% of AMI for ownership are unlikely to serve the households the program is intended to reach**, and note that the threshold also differs from the San Miguel Regional Housing Authority's own ownership standard of 100% of AMI. We recommend the County reconcile the two and consider aligning incentive thresholds with the income bands where demand is documented.

G. Drafting matters.

- The deed-restriction thresholds differ between the narrative and the code, and between districts. Table 4 (p. 16) states 37% / 38–50% / 51%+ for all districts; Appendix A states 33–40% / 41–50% / 51%+ for HD and MD, and 37% / 38–50% / 51%+ for LD. These should be reconciled.
- In Section 5-304G, the LD density bonuses are attached to subsection II (Minimum Lot Area) rather than subsection I (Density), and are lettered d, e, and f with no preceding a, b, or c.
- The Low Density district permits no multi-household dwellings, cottage housing, cohousing, or rooming houses at any review level. It is unclear what housing type the LD density bonus is expected to produce, given that deed-restricted units there would be detached dwellings on lots of 4.7 acres or larger.

- It is unclear whether accessory dwelling units count toward the density maximum. The current standard is expressed as "1 DU / 35 acres + 1 ADU," which reads as additive. If that convention carries forward, the High Density standard would permit 15 dwelling units plus 15 accessory units per acre. Clarification would be useful.
- Section headings appear as "5-234E" and "5-234H" in the Community Housing redlines, apparently transposed from 5-324.

III. Recommendations we support

We wish to be clear that our concerns are directed at a specific and, we believe, correctable defect in the density provisions. Several recommendations in the draft would produce workforce housing using land and infrastructure that already exist, at no public cost, and we support them:

- **Accessory dwelling units by right** in the LD, MD, HD, CH, and WMTR districts, with the floor area maximum raised from 800 to 1,000 square feet.
- **A second caretaker or secondary dwelling unit** on parcels with a domestic well permit for three units, expressly conditioned on deed-restricting at least one unit (proposed Section 5-1302C.IV). **This provision is structured correctly** — additional density granted specifically in exchange for restriction, referencing the R-1 Housing Deed Restriction, and limited by demonstrated water availability. We suggest it as the model for the density bonus discussed in Part I.
- **Duplexes and single-household attached dwellings** permitted where detached dwellings are allowed, subject to service and environmental standards.
- **Definitions and standards for cottage housing and cohousing**, and the cottage housing infrastructure-adequacy standard at Section 5-1011.I.f.
- **Reduced reliance on PUD review for small-scale projects.** An 18-to-36-month entitlement process is genuinely punitive for a six-unit project, and predictability has real value.
- **Code organization improvements** — consolidated use tables, a development standards matrix, standardized definitions, and visual aids.

IV. Summary of requested actions

1. **Redraft the density bonus** so that increased density above the current by-right allowance is available only for deed-restricted units, or alternatively recalculate the bonus percentages to exceed $d \div (1 - d)$ at every tier.

2. **Add a service-adequacy standard** applicable to density increases generally, addressing wastewater treatment capacity in addition to water, along the lines of proposed Section 5-1011.I.f.
3. **Define "deed restricted"** in the bonus provisions by cross-reference to Sections 5-1304 and 5-1305, with a stated income tier, term, and eligibility standard.
4. **State in writing whether the update alters the ability to rezone land into the LD, MD, and HD districts**, and publish any redlines to Section 5-317 and the Article 3 rezoning procedures.
5. **Publish Appendices B, C, and D and the remainder of Appendix A**, together with a build-out estimate and an infrastructure capacity analysis, before the Planning Commission acts.
6. **Restore the prohibition** on rezoning High Country Area and Rangeland Grazing parcels to Community Housing, unless its removal was intended and justified.
7. **Reconcile the affordability thresholds** in the Prioritized Housing Review and the Community Housing height bonus with the San Miguel Regional Housing Authority's standards and with documented demand.
8. **Correct the drafting inconsistencies** identified in Part II.G.

We appreciate the substantial work the County and its consultants have put into this update, and we recognize that the housing shortage it addresses is real and urgent. Our purpose in submitting these comments is to help ensure that the code the County adopts produces the deed-restricted housing it is designed to produce. We would welcome the opportunity to discuss any of the above with staff, and we will gladly correct anything we have misread.

Respectfully submitted,

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Livable Telluride

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Note on methodology. The calculations in Part I are arithmetic applied to the density figures in Table 4 (p. 16) and the Appendix A redlines to Sections 5-302H.I, 5-303G.I, and 5-304G.II. The wastewater figures in Part II.A apply the County's 2.2-persons-per-household figure (2025 Regional Housing Needs Assessment, cited at p. 15) and standard planning factors of 70–100 gallons per person per day to the plant capacities stated in the June 2025 regional wastewater memorandum of understanding. Supporting analysis is available at livabletelluride.org.